SARRTHI IAS

MMP+

GS 3 MAINS MODULE

UPSC CSE MAINS 2026

ECONOMY

TABLE OF CONTENTS

Economic Survey Chapter-1

Global upheaval

- → AI driven growth in US → but tariffs across the world
- → Worldwide divergence in Monetary policy
- → Global economic uncertainity ↑↑ → global FDI ↓
- → Resurgence of economic statecraft

Examples
- US export control ↓ advanced semiconductors
- China export control ↓ Rare earth
- Tariffs ↓ DJT & CBAM
- Expansionary fiscal policy around the world

India → strategic indispensability ↓ cannot be substituted
- domestic capability
- Macroeconomic stability
- Integration = Insurance

$\underbrace{\text{domestic capability} \quad \text{Macroeconomic stability} \quad \text{Integration = Insurance}}_{\text{Long term Economic Sovereignty}}$

India's story

1.) Demand
- GST Rationalization
- Soft Inflation
- Tax Reforms

2.) Investment → GFCF
- government capex ↑↑
- private announcements ↑

3.) Net exports → growth by 5.9%
- Trade diversification
  - services ↑↑
  - goods → stable anchor

4.) Inflation
- sharp ↓ in food pressure
- core inflation ↑↑ (precious metals)

5.) Fiscal policy

Fiscal discipline by India → better quality bonds → spread with US bonds declining

Central govt. ↑ capex
states → Revenue deficit

✓ Fiscal consolidation path → Debt to GDP fiscal anchor

6.) Monetary Policy → Repo ↓, CRR ↓, OMO } → Liquidity → Lending Rate ↓

Commercial Sector
→ alternate source of financing
→ Market based
→ profitability → internal resources ↑

7.) Balance of Payments

capital a/c → gross FDI ↑
FPI → outflow → US, Taiwan, Korea (AI instruments)

B.O.P deficit → 6.4 Bn → Rupee ↓↓

Merchandise deficit
Services trade surplus
Remittances ↑

8.) Unemployment → inversely proportional → education attainment
→ stable
→ LFPR ↑
→ Threat of AI

- Labour codes → recognized
- gig workers → social security.

Rare "goldilocks moment" → High Growth, Low Inflation } More of the same.

The Other Side

Weak Nominal Growth → Single digit → 9%
Low inflatⁿ → low demand from consumers (2%)

Revenue generation, Borrowings, expenditures] pegged

exchange rate crisis | corporate sales growth ↓ | capital flight

Till Now

MC^2 → pvt sector role ↑, govt as regulator → GST, IBC, corporate tax cut, PLI

FD ↓ → No crowding out

Capex ↑ → productive assets ↑

private sector did NOT take the lead.

↳ lack of demand from consumers → VE ∝ 1/education, High inflation

IT rate cut, GST rationalization } Still → pvt investment lower than pre pandemic levels. + Tariffs.

This Budget → ① fiscal consolidation in the face of uncertainty.
↳ Massive expenditure cut

Chart 1: Govt cuts borrowings, leaves more for pvt firms
(Deficit trends as a % of nomnial GDP)

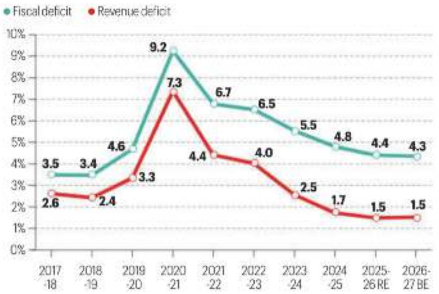

Chart 2: Govt has increasingly switched to capex
Composition of revenue & capital expenditure (as % of total expenditure)

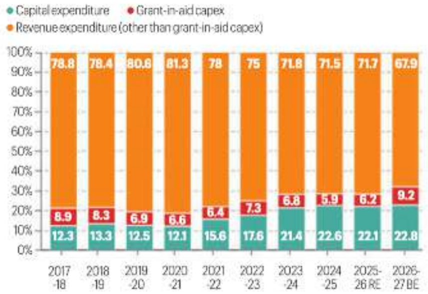

Chart 3: Cuts in expenditure, the cost of fiscal discipline

NOTE: B.E. REFERS TO BUDGET ESTIMATES, R.E. REFERS TO REVISED ESTIMATES

RECEIPTS (Rs cr)

	2024-25 ACTUALS	2025-26 BE	2025-26 RE	INCREASE IN RE OVER ACTUALS
Income Tax	12,35,171	14,38,000	13,12,000	6.20%
Goods & Services Tax	10,27,041	11,78,000	10,46,480	1.89%
Total receipts	46,52,867	50,65,345	49,64,842	6.70%

EXPENDITURE (Rs cr)

Capex	10,51,953	11,21,090	10,95,755	4.16%
Education	1,10,736	1,28,650	1,21,949	10.12%
Health	88,353	98,311	94,625	7.09%
Urban development	53,255	96,777	57,204	7.41%
Social welfare	45,804	60,052	50,053	9.27%

SOURCE: BUDGET DOCUMENTS

Limited fiscal space → No Big Bang announcement for consumption
→ Focus on Supply side.

Manufacturing

MSMEs

Tier 2
Tier 3

Massively impacted by demonetisatn, GST, pandemic, tariff, supply chain disruptions.

Manufacturing Sector

The manufacturing sector is a critical pillar of the Indian economy, serving as a primary engine for growth, employment, and the realisation of the vision for a **"Viksit Bharat" by 2047**. India is currently positioning itself to transition from **being a global "back-office hub" to becoming a foundational node in global industrial and digital supply chains.**

Current Issues in the Manufacturing Sector

- **High Import Dependence:** The sector suffers from a heavy reliance on imports, particularly for parts and sub-assemblies, with China serving as the single largest source of dependence.
- **Low Domestic Value Addition:** While India has seen success in mobile phone assembly, domestic value addition remains low at approximately 15% to 20%.
- **Inverted Duty Structures:** Downstream manufacturers are penalised by a tariff regime where duties on intermediate goods and raw materials are often higher than those on finished products, which discourages deep domestic manufacturing.
- **High Logistics Costs:** Indian manufacturing competitiveness is hindered by logistics costs estimated at 7.97% of the Gross Domestic Product in the 2024 fiscal year.
- **Geoeconomic Turbulence:** The sector faces significant headwinds from global trade tensions, including the imposition of up to 50% reciprocal and penal tariffs by the United States of America on merchandise exports like textiles, leather, and seafood.
- **Stagnant Research and Development:** Expenditure on Research and Development remains stagnant at 0.64% of the Gross Domestic Product, trailing far behind global leaders like China and the United States of America.
- **Fragmented Infrastructure:** Historical infrastructure development has often been fragmented, leading to time and cost overruns as transport and utility projects were built as isolated units rather than integrated systems.

Solutions Proposed in the Union Budget 2026-27

The Union Budget adopts a multi-pronged strategy to address these issues through sectoral missions, tax reforms, and dedicated support for smaller enterprises.

Manufacturing – Strategic and Frontier Sectors

- **India Semiconductor Mission 2.0:** The government launched the second phase of this mission with an initial allocation of ₹1,000 crore for the 2027 fiscal year, shifting the focus from mere fabrication to producing equipment, materials, and full-stack Indian Intellectual Property.
- **Biopharma SHAKTI:** This scheme has been proposed with a budgetary outlay of ₹10,000 crore over five years to build a domestic ecosystem for biologics and biosimilars, moving India toward value leadership in complex therapies.
- **Hi-Tech Tool Rooms in Central Public Sector Enterprises:** These rooms will be established at two locations to act as digitally enabled service bureaus for high-precision component manufacturing.

- **Scheme for Rare Earth Permanent Magnets:** The Budget establishes dedicated Rare Earth Corridors in Odisha, Kerala, Andhra Pradesh, and Tamil Nadu to promote mining, processing, research, and manufacturing of critical minerals.
- **Scheme for Container Manufacturing:** A ₹10,000 crore scheme over five years aims to establish an annual domestic manufacturing capacity of 1 million 20-foot containers to substitute for the current import of two million empty containers per year.
- **3 Dedicated Chemical Parks:** These parks are part of a strategic push to enhance domestic production and reduce import reliance in the chemicals sector.
- **Integrated Programme for Textiles:** This initiative includes the Textile Expansion and Employment Scheme to modernize traditional clusters with capital support for machinery and testing centers.
- **Dedicated Initiative for Manufacturing of Affordable Sports Goods:** This initiative targets the sports equipment sector as a new area for scaling up domestic production.
- **Electronics Components Manufacturing Scheme:** The outlay for this scheme was nearly doubled to ₹40,000 crore to capitalize on investment momentum for high-value components like display modules and camera sub-assemblies.
- **Scheme to Revive 200 Legacy Industrial Clusters:** The Budget provides ₹3,000 crore for plug-and-play industrial parks and infrastructure upgradation in existing legacy clusters.
- **Strengthening Construction and Infrastructure Equipment:** This targeted initiative aims to bolster the domestic manufacturing of high-value and technologically advanced construction equipment to move India up the value chain.

Tax Reforms and Customs Rationalisation to Boost the Manufacturing Sector

- **Income Tax Exemptions:** A five-year income tax exemption is provided for non-residents providing capital goods, equipment, or tooling to toll manufacturers in bonded zones.
- **Safe Harbour for Component Warehousing:** A safe harbour margin of 2% on profit has been introduced for non-residents engaged in component warehousing in bonded warehouses.
- **Deferred Duty Payment:** A deferred duty payment window has been introduced to support trusted manufacturers.
- **Export Input Relief:** The duty-free import limit for seafood export processing inputs was raised from 1% to 3% of the Free On Board value of the previous year's turnover.
- **Footwear Sector Support:** Duty-free inputs were extended to include the export of shoe uppers, in addition to leather and synthetic footwear.
- **Export Time Limit Extension:** The time limit for exporting final products under the Advance Authorisation scheme was extended from six months to one year for leather and textile garments and footwear exporters.
- **Basic Customs Duty Exemptions:**
  - Full exemption on specified parts for the manufacture of microwave ovens.
  - Full exemption on components and parts, including engines, for the manufacture of civilian and training aircraft.
  - Exemption on raw materials imported by Defence Public Sector Undertakings for the maintenance, repair, or overhaul of aircraft parts.
- **Process Modernization:**

  - Recognition of trusted regular importers with long-standing supply chains in the risk management system.
  - Electronic sealing for export cargo to facilitate seamless clearance from the factory premises directly to the ship.
  - A one-time measure to facilitate the sale of goods in the Domestic Tariff Area at concessional duties by eligible Special Economic Zone manufacturing units.

Three-Pronged Approach to Help Micro, Small, and Medium Enterprises (MSMEs) Grow as "Champions"

- **Equity Support:** The Budget introduces a dedicated ₹10,000 crore Micro, Small, and Medium Enterprise Growth Fund and provides a ₹2,000 crore top-up to the Self-Reliant India Fund established in 2021.
- **Professional Support:** The government will develop **"Corporate Mitras"** via professional institutions, focusing on Tier-II and Tier-III towns, to help smaller firms meet compliance requirements at an affordable cost.
- **Liquidity Support via Trade Receivables Discounting System (TReDS):**
  - Mandating the Trade Receivables Discounting System as the settlement platform for all Central Public Sector Enterprise purchases from Micro, Small, and Medium Enterprises.
  - Providing a Credit Guarantee Fund Trust for Micro and Small Enterprises, backed credit guarantee for invoice discounting on the platform.
  - Linking the Government E-Marketplace with the Trade Receivables Discounting System for cheaper and faster financing.
  - Enabling the securitisation of Trade Receivables Discounting System receivables to create a secondary market and improve overall settlement liquidity.

Tax Proposal for Exports

  - **Courier Exports:** The Budget removes the current ₹10 lakh per consignment cap on courier exports to facilitate easier global market access for smaller exporters.

Impact of Solutions

The implementation of these budgetary measures is expected to have a significant positive impact:

- **Increased Value Addition:** These initiatives aim to transition India from a technology adopter to a global innovator, raising domestic value addition from 15-20% to at least 30% to 40%.
- **Investment Surge:** The Electronics Components Manufacturing Scheme alone is expected to generate production worth ₹4.56 lakh crore and attract incremental investment of approximately ₹59,350 crore.
- **Job Creation:** The expansion in electronics component manufacturing is projected to generate direct employment for approximately 51,000 people.
- **Logistics Efficiency:** The domestic manufacturing of containers will plug foreign exchange leakages and reduce critical import dependence, strengthening the national logistics backbone.
- **Economic Multiplier Effect:** High levels of public capital expenditure in freight and high-speed rail corridors are expected to generate a multiplier effect of 2.5 to 3.5 times the Gross Domestic Product.
- **Healthcare Savings:** The reduction in drug duties and customs exemptions for cancer medicines will directly lower household healthcare costs.

Analyst Opinions

Analysts and industry experts have provided a multifaceted view of the Budget's manufacturing focus:

- **Strategic Autonomy:** Analysts view the India Semiconductor Mission 2.0 as a critical evolution that allows India to own capabilities across design and upstream inputs.
- **"Y2K Moment":** The landmark tax holiday for data centers is described as a potential "Y2K moment" for the tech-manufacturing sector, providing the fiscal predictability needed for long-cycle infrastructure.
- **Decisive Signal:** The focus on Micro, Small, and Medium Enterprise equity support and legacy clusters is hailed as a decisive signal that India's growth will be driven by technology-led small enterprises.
- **Piecemeal Approach Criticism:** Conversely, some critics describe the customs duty slashes as a "piecemeal" approach rather than a "Big Bang" cleanup of the tariff structure, which still hovers around an average of 16%.
- **Structural Skepticism:** Some observers argue that the Budget is "run-of-the-mill" and fails to address deep structural issues like stagnating real wages or high across-the-board input costs.

Potential Challenges

The success of these initiatives faces several hurdles:

- **Implementation and Execution Gaps:** Historically, there has been a "slip between the cup and the lip" regarding timely rule notifications and effective coordination between the Central and State governments.
- **External Fragility:** Geopolitical turmoil and "Trumpian" tariff wars pose significant risks to export-oriented manufacturing strategies.
- **Resource Intensity:** The growth of high-tech manufacturing and data centers places extraordinary stress on energy and water reserves, with some data centers consuming up to 20 lakh litres of water per day.
- **Innovation Lag:** Despite the infrastructure push, India continues to lag global peers in Research and Development spending, which is critical for long-term competitiveness in advanced technologies.
- **Bureaucratic Risk Aversion:** A risk-averse bureaucracy may continue to prioritize procedural compliance over innovation, potentially derailing the transition to trust-based systems.

Way Forward

- **National Input Cost Reduction Strategy:** India must prioritize lowering the costs of energy, logistics, and regulatory compliance to ensure that domestic manufacturing remains globally competitive.
- **Sequenced Capability Building:** The sector should follow a sequenced progression from simple assembly to component manufacturing and ultimately to Intellectual Property-intensive activities.
- **High-Productivity Industrial Clusters:** Policy focus should shift toward creating industrial clusters that integrate anchor firms, suppliers, Micro, Small, and Medium Enterprises, and Research and Development into a single ecosystem.

- **Digital Wellness and Education:** Implementing "Earn-and-Learn" initiatives and a Digital Wellness Curriculum will be essential to building a workforce capable of handling advanced precision manufacturing.
- **Strategic Indispensability:** India must move beyond mere import substitution to become a node in global networks that cannot be bypassed by other international players.

Conclusion

The Union Budget 2026-27 presents a comprehensive and strategic roadmap for revitalising India's manufacturing landscape. By targeting frontier sectors such as semiconductors and biopharmaceuticals, providing robust support for the Micro, Small, and Medium Enterprise ecosystem, and rationalising the customs regime, the government aims to anchor India as a high-value global manufacturing hub.

Services Sector

The services sector has emerged as the principal driver of India’s economic expansion, employment generation, and global integration. As manufacturing and agriculture face structural limits, services now carry the burden of productivity growth, digital innovation, and export competitiveness

Current Issues in the Services Sector

- **Skill and Readiness Mismatch:** There is a significant gap between educational attainment and occupational requirements, with approximately 75% of higher education institutions reported to lack industry readiness.
- **Digital Infrastructure Gap:** India generates nearly 20% of the world’s data but hosts only about 3% of global data centers, reflecting a strategic competitiveness gap in digital infrastructure.
- **Healthcare and Specialized Care Deficits:** The nation faces a staggering treatment gap in mental health services, ranging from 70% to 92%, and an acute shortage of trained Allied Health Professionals and multi-skilled caregivers for an aging population.
- **Technological Displacement Risks:** The rapid advancement of Artificial Intelligence threatens to automate routine cognitive tasks, leading to a "quiet, steady drift" toward lower labor intensity in the services sector.
- **Education Enrollment Barriers:** While elementary enrollment is near universal, secondary age-specific net enrollment remains low at 52.2% due to economic pressures and a lack of infrastructure support for female participation in Science, Technology, Engineering, and Mathematics.
- **Resource and Environmental Constraints:** The staggering power and cooling requirements of digital infrastructure place extraordinary stress on energy and water reserves, with some data centers consuming up to 20 lakh litres of water per day.

Solutions Proposed in the Union Budget 2026–27

Health Initiatives

- **Allied Health Professionals Institutions:** The Budget proposes to upgrade and establish new institutions across ten selected disciplines to address the shortage of trained healthcare staff.

- **Geriatric Caregiver Training:** The government will develop National Skills Qualification Framework-aligned programmes to train 1.5 lakh multi-skilled caregivers for the geriatric care ecosystem.
- **Medical Value Tourism Infrastructure:** New schemes will support States in establishing five hubs in partnership with the private sector to position India as a premier destination for integrated healthcare.
- **All India Institutes of Ayurveda:** The Budget proposes the establishment of three new All India Institutes of Ayurveda to enhance research and clinical training.
- **Upgradation of Pharmacies and Laboratories:** Existing pharmacies and Drug Testing Laboratories will be upgraded to achieve higher certification standards.
- **Global Traditional Medicine Centre:** The World Health Organization Global Traditional Medicine Centre will be upgraded to bolster the global standing of Indian traditional medicine.

Education

- **Education to Employment and Enterprise Standing Committee:** The government will establish a high-powered committee to focus on the services sector as a core driver of the "Viksit Bharat" vision.
- **University Townships:** Five University Townships will be established near major industrial and logistic corridors to provide shared research infrastructure and bridge the academia–industry gap.
- **Girls' Hostels in STEM Institutions:** The government mandates the construction of girls' hostels in Higher Education Science, Technology, Engineering, and Mathematics institutions in every district to support female participation and retention.
- **National Institute of Design:** A new institute will be established in eastern India using a "Challenge route" for selection to foster regional innovation.
- **Telescope Infrastructure Facilities:** Four Telescope Infrastructure facilities will be set up or upgraded to enhance national scientific research capabilities.

Orange Economy Initiatives

- **Creative Economy Laboratories:** Animation, Visual Effects, Gaming, and Comics Content Creator Laboratories will be set up in 15,000 secondary schools and 500 colleges to promote vocational pathways.

Sports Development via Khelo India

- **Talent Development and Coaching:** The Khelo India Mission will focus on integrated talent development pathways and systematic coaching development.
- **Science and Technology Integration:** The initiative will emphasize the use of science and technology in sports alongside the expansion of sports infrastructure.

Tourism Sector Modernization

- **National Institute of Hospitality:** A new institute will serve as a bridge between academia, government, and industry.
- **Guide Upskilling Programme:** A pilot scheme will upskill 10,000 guides at 20 iconic tourist sites to improve visitor experience.
- **National Destination Digital Knowledge Grid:** A digital grid will document all places of historical or cultural significance across the country.

- **Eco-Tourism Trails:** Ecologically sustainable mountain, turtle, and bird-watching trails will be developed in select states.
- **Cultural and Wildlife Initiatives:** India will host the first-ever Global Big Cat Summit and develop 15 archaeological sites into experiential cultural destinations.
- **Buddhist Circuits Development:** Dedicated efforts will be made toward developing Buddhist Circuits in the North East Region.

Tax Reforms to Boost the Services Sector

- **Unified Information Technology Services Category:** Interconnected services will be clubbed under a single category with a common safe harbour margin of 15.5%.
- **Safe Harbour Threshold Enhancement:** The threshold will be increased from ₹300 crore to ₹2,000 crore.
- **Automated Safe Harbour Approval:** Approval will shift to an automated, rule-driven process to reduce administrative friction.
- **Five-Year Safe Harbour Option:** Taxpayers may opt to continue a safe harbour arrangement for a fixed five-year period.
- **Fast-Tracked Advance Pricing Agreements:** The unilateral process will aim for completion within two years.
- **Modified Returns Extension:** The facility of modified returns will be extended to associated entities for ease of compliance.
- **Tax Holiday for Data Centers:** A tax holiday until 2047 is offered to foreign companies providing global cloud services through India-based data centers.
- **Indian Reseller Requirement:** Foreign entities must provide services to Indian customers through an Indian reseller entity.
- **Safe Harbour for Data Center Entities:** Related entities will receive a 15% cost-based safe harbour.
- **Tax Exemption for Non-Resident Experts:** The global income of non-resident experts will be exempted from tax for five years under the notified schemes.

Impact of Solutions

- **Massive Investment Surge:** Data center incentives are projected to trigger over $200 billion in investment, democratizing access for startups and Micro, Small, and Medium Enterprises.
- **Global Node Status:** Long-term tax certainty aims to transition India into a foundational global node for digital services and Artificial Intelligence infrastructure.
- **Workforce Mobilization:** Girls' hostels in every district could mobilize the 42% of undergraduate women who currently drop out of the workforce pipeline.
- **Enhanced Skill Pipelines:** Focus on Allied Health Professionals and caregivers will expand skilled career pathways while improving healthcare delivery.
- **Reduced Compliance Friction:** Automated processes and fast-tracked agreements will lower litigation and taxpayer anxiety.

Analyst Opinions

Analysts have provided diverse perspectives on the renewed emphasis on the services sector.

- **Tax incentives** are seen as providing fiscal predictability for capital-intensive digital infrastructure.

- **Safe harbour reforms** are viewed as a masterstroke for Global Capability Centres.
- **Mental Health Mainstreaming:** Health and care ecosystem reforms are welcomed as mainstream public policy shifts.
- **Job-Led Growth Shift:** The Budget is seen as moving from jobless growth to job-led growth.
- **Skepticism of Industrial Policy:** Some observers view sector-specific interventions as a return to state-led economic shaping.

Potential Challenges

- **Resource Intensity:** Data centers' power and water demands threaten energy grids and groundwater reserves.
- **Execution and Spending Gaps:** Past gaps between allocations and actual spending raise concerns.
- **Artificial Intelligence Displacement:** Job losses may outpace new role creation in the services sector.
- **Global Supply Chain Volatility:** Dependence on concentrated Graphics Processing Unit supply chains poses geopolitical risks.
- **Innovation Lag:** Low Research and Development spending could limit long-term competitiveness.

Way Forward

- **Frugal Artificial Intelligence Development:** Priority should be given to resource-efficient, application-specific models.
- **Data as a Strategic Resource:** A framework must retain the economic value of domestic data within the country.
- **Integrated Learning Pathways:** Earn-and-Learn models should integrate vocational training from Class 11 onward.
- **Outcome-Based Funding:** Funding should be linked to job retention and earnings uplift rather than enrollment alone.
- **Digital Wellness Curriculum:** Educational institutions should address digital addiction and youth mental health.

Conclusion

The Union Budget 2026–27 signals a decisive shift toward a productivity-led and strategically autonomous services sector. By combining long-term fiscal incentives for digital infrastructure with institutional reforms in health, education, and tourism, the government aims to anchor India as a high-value global services node. While challenges related to resource intensity and implementation persist, the roadmap reflects a maturation of economic strategy toward achieving the "Viksit Bharat" objective by 2047.

Agriculture and Allied Sector

The agriculture and allied activities sector remains a fundamental pillar of the Indian economy, supporting a significant portion of the country's workforce. The sector is central to India's overall growth trajectory, inclusive development, and the realization of the vision for a "Viksit Bharat" by 2047. In recent years, major growth in the sector has been increasingly driven by allied segments such as livestock, fisheries, and horticulture, which play a vital role in enhancing income opportunities and strengthening rural livelihoods.

Current Issues in the Agriculture and Allied Sector

- **Slowing Growth Momentum:** Agricultural growth recently moderated, with the sector registering a growth rate of 3.1 per cent in the first half of the 2026 fiscal year, which is below the long-term average.
- **Structural Bottlenecks:** The sector continues to grapple with fragmented landholdings, a lack of private investment, and inadequate infrastructure for cold chains and storage.
- **Productivity Gaps:** Yields for major crops, including cereals and pulses, continue to trail global productivity averages.
- **Environmental and Climate Stress:** Agriculture is highly vulnerable to unseasonal weather events and heat stress, which have impacted crop stability.
- **Imbalanced Nutrient Management:** Artificially low prices for nitrogenous fertilizers have led to deteriorating soil health and declining soil organic carbon.
- **Financial Pressures:** The fertilizer subsidy bill for the 2025–26 fiscal year overshot its budget estimate by over ₹18,500 crore, while the sector also faces reported shortages of Di-ammonium Phosphate.

Solutions Proposed in the Union Budget 2026–27

The Union Budget adopts a technology-led and value-oriented strategy to modernize the sector and increase farmer income by enhancing productivity.

Productivity and Income Enhancement Programmes

- **Dedicated Programme for Horticulture:** The government will implement a programme to rejuvenate old, low-yielding orchards and expand the high-density cultivation of walnuts, almonds, and pine nuts.
- **Animal Husbandry Entrepreneurship:** The Budget supports entrepreneurship through a loan-linked capital subsidy support scheme for establishing private veterinary and para-veterinary colleges, hospitals, diagnostic laboratories, and breeding facilities to generate rural and peri-urban employment.
- **Supporting High-Value Agriculture:** A targeted Coconut Promotion Scheme will be launched to increase production and enhance productivity through the replacement of old trees.

- **Indian Cashew and Cocoa Programmes:** Dedicated programmes for Indian Cashew and Cocoa aim to boost engagement and relevance by aligning training with specific employee roles.
- **Fisheries Development:** The Budget proposes the integrated development of 500 reservoirs and Amrit Sarovars, along with strengthening coastal value chains to enable market linkages for start-ups, women-led groups, and Fish Farmer Producer Organisations.
- **Sandalwood Cultivation:** The government will promote the focused cultivation and post-harvest processing of Sandalwood.

Technology and Digital Initiatives

- **Bharat-VISTAAR (Virtually Integrated System to Access Agricultural Resources):** This multilingual Artificial Intelligence-enabled tool will integrate AgriStack portals and the Indian Council of Agricultural Research package on agricultural practices to provide localized advisory on crop planning, pests, and markets.

- **Digital Agriculture Mission:** The government will leverage this mission to provide real-time, customized advisory support to small and marginal producers.

Tax Proposals for the Agricultural and Cooperative Sector

- **Fisheries Duty Relief:** Fish caught by an Indian fishing vessel in the Exclusive Economic Zone or on the High Seas will be made free of duty, and landing such catch at a foreign port will be treated as an export of goods.
- **Cooperative Society Deductions:** Primary cooperative societies will be allowed a deduction for the supply of cattle feed and cottonseed produced by their members.
- **Inter-cooperative Dividend Relief:** Dividend income between cooperative societies will be allowed as a deduction under the new tax regime to the extent it is distributed to members.
- **National Federation Exemptions:** Dividend income received by a notified national cooperative federation from investments made until 31 January 2026 will be exempt from tax for three years, provided the dividends are distributed to its member cooperatives.

Impact of Solutions

The proposed budgetary interventions are expected to drive significant shifts in the rural economy.

- **Transition to Prosperity:** These measures aim to shift the sector from volume-driven production to last-mile prosperity and high-value export-led growth.
- **Cost Reduction:** The rationalization of Goods and Services Tax on agricultural machinery and key fertilizer inputs to 5 per cent is intended to directly lower production costs for farmers.
- **Evidence-Based Policy:** The interactive feedback loop provided by Bharat-VISTAAR is designed to enable better research prioritization and evidence-based policymaking.
- **Market Share Gains:** The focus on value-added seafood processing and increased duty-free import limits for specific inputs aims to improve India's global share in the seafood basket.
- **Rural Workforce Mobilization:** Initiatives such as SHE Marts and the Viksit Bharat Guarantee for Rozgar and Ajeevika Mission (Gramin) are projected to mobilize the rural workforce and enhance rural demand.

Analyst Opinions

Analysts have provided a multifaceted assessment of the agricultural proposals.

- **Fiscal Prudence:** Many observers commend the government for avoiding flashy giveaways or a general farm loan waiver despite the pressures of multiple state elections.
- **Inadequate Allocations:** Some critics argue that the 2.6 per cent marginal increase in the agriculture budget is insufficient and fails to address the demand for a statutory Minimum Support Price.
- **Rhetoric Concerns:** Farmers' organizations have labeled the high-value crop initiatives as mere rhetoric, given the relatively small allocation of ₹350 crore compared to the scale of challenges.
- **Fertilizer Reform Gaps:** Commentators describe the failure to reduce the massive urea subsidy as a missed opportunity for correcting long-standing nutrient imbalances.

Potential Challenges

- **Implementation and Execution Gaps:** There remains a persistent slip between intent and outcomes, with unspent state-level funds often leading to revised estimates falling below budget allocations.
- **Federalism Strains:** The Viksit Bharat Guarantee for Rozgar and Ajeevika Mission (Gramin) shifts 40 per cent of costs to states, potentially creating sub-national fiscal stress.
- **Climate and External Shocks:** Erratic weather and geopolitical trade wars, including high reciprocal tariffs on exports, pose continuous risks to farm profitability.
- **Resource Competition:** Large-scale digital hubs and high-tech industries consume substantial water resources, potentially competing with agriculture for strained groundwater reserves.

Way Forward

To achieve sustainable agricultural transformation, the following strategic steps are recommended.

- **Efficiency-Driven Growth:** India must transition from volume-driven input use to efficiency-driven growth by reorienting fertilizer support toward soil health.
- **National Input Cost Reduction Strategy:** Policy should focus on lowering energy, logistics, and compliance costs for agri-businesses to ensure global competitiveness.
- **Farm-to-Fork Streamlining:** Reducing intermediaries should be prioritized to ensure fair price realization for producers and affordable food for consumers.
- **Climate Resilience:** The government must incentivize state-level innovations in water governance and promote climate-resilient practices such as drip irrigation to protect soil carbon.
- **Direct Benefit Transfer:** Reforming fertilizer pricing while providing equivalent per-acre cash transfers through platforms like Prime Minister Kisan Samman Nidhi can preserve farmer purchasing power while removing distortions.

Conclusion

The Union Budget 2026–27 signals a strategic shift in India's agricultural policy toward a technology-led and value-oriented framework. By integrating Artificial Intelligence, supporting high-value allied sectors, and simplifying taxation for cooperatives, the government aims to build a more resilient rural economy. While challenges related to implementation capacity and global volatility persist, the focus on last-mile prosperity reflects a maturation of agricultural strategy essential for achieving a developed India by 2047.

Financial Sector

The Indian financial sector is currently in a position of significant strength, characterized by robust balance sheets, record-high profitability, and multi-decade low Gross Non-Performing Asset ratios, which stood at 2.2% as of September 2025. To undergird the "Viksit Bharat" vision, the financial architecture is being modernized to bridge the gap between bank-dominated lending and a more diversified, liquid market ecosystem.

Current Issues in the Financial Sector

- **Inadequate Funding Structure for Long-Gestation Projects:** The banking sector in its current form is not fully equipped to fund the massive infrastructure requirements of the national vision due to existing governance and scale limitations.

- **Shallow Corporate Bond Market:** India's corporate bond market remains relatively shallow and illiquid, accounting for only 15% to 16% of the Gross Domestic Product, which leads to a high cost of capital and over-reliance on bank financing.
- **Excessive Speculation in Derivatives:** Capital markets are experiencing excessive retail speculation in high-risk Futures and Options segments, where reports indicate that 93% of amateur investors suffer financial losses.
- **Regulatory Rigidities in Banking:** Issues such as the disconnect between ownership stakes and voting rights and restrictive Foreign Direct Investment caps for state-run banks hinder the entry of global capital.
- **Softening Foreign Inflows:** Net Foreign Direct Investment inflows have softened significantly, and the nation has seen practically no net Foreign Portfolio Investment flows for over five years, facing what some call a "global capital strike".
- **Fiscal Rigidity and High Borrowing:** A massive gross market borrowing target of ₹17.2 trillion for the 2027 fiscal year risks crowding out the private sector and exerting upward pressure on bond yields.
- **Distortions in Taxation:** Anomalies such as the unintended distortion in share buyback taxation and the use of Sovereign Gold Bonds as tax arbitrage instruments have created market inefficiencies.

Solutions Proposed in the Union Budget 2026–27

Institutional and Structural Reforms

- **High-Level Committee on Banking for Viksit Bharat:** The government proposed setting up a high-level committee to comprehensively review the banking structure, governance, and readiness to align with the next growth phase of the Indian economy.
- **Municipal Bond Incentives:** An incentive of ₹100 crore will be provided for a single issuance of municipal bonds exceeding ₹1,000 crore to encourage financial discipline and market borrowing among urban local bodies.
- **Restructuring of Public Sector Finance Companies:** The government plans to restructure the Power Finance Corporation and the Rural Electrification Corporation to achieve the scale required for the electricity sector and the green energy transition.
- **Review of Foreign Exchange Management Act Rules:** A comprehensive review of the Foreign Exchange Management (Non-debt Instruments) Rules will be conducted to create a more contemporary and user-friendly framework for foreign capital.
- **Deepening Debt Markets:** The Budget introduces a market-making framework with access to funding and derivatives on corporate bond indices, alongside the introduction of total return swaps on corporate bonds.

Tax Proposals for the Financial Sector

- **Securities Transaction Tax Hike on Futures:** The Securities Transaction Tax on Futures transactions will be raised from 0.02% to 0.05%.
- **Securities Transaction Tax Hike on Options:** The Securities Transaction Tax on options premiums and the exercise of options will be raised to 0.15% from the previous rate.
- **Rationalization of Capital Gains:** Proceeds from share buybacks will now be treated as Capital Gains rather than dividend income to restore them as an efficient capital-return mechanism.

- **Tightening of Sovereign Gold Bond Rules:** The capital gains tax exemption for Sovereign Gold Bonds is now restricted exclusively to original subscribers who hold the bonds until maturity to curb secondary market arbitrage.

Impact of Solutions

- **Reduction in Speculative Excess:** The hike in the Securities Transaction Tax is designed to discourage the gamification of trading and protect retail investors from significant speculative losses.
- **Enhanced Liquidity and Price Discovery:** Strengthening the corporate bond market through total return swaps and market-making frameworks will reduce the over-reliance on banks and lower the economy's cost of capital.
- **Increased Foreign Participation:** The review of the Foreign Exchange Management Act rules and the broadening of the investor base to include all Persons Resident Outside India are intended to deepen market depth and liquidity.
- **Institutional Scaling for Energy Transition:** The restructuring of the Power Finance Corporation and the Rural Electrification Corporation will modernize their business models to manage risks associated with the evolving energy landscape.
- **Restored Efficiency in Capital Returns:** Treating buybacks as capital gains corrected a significant distortion, allowing companies a legitimate and tax-efficient way to return capital to shareholders.

Analyst Opinions

- **Philosophical Shift in Regulation:** Analysts describe the **Securities Transaction Tax hike as the Jane Street Amendment**, reflecting a philosophical move to protect small investors from algorithmic high-frequency trading firms.
- **Future-Proofing Governance:** The High-Level Committee on Banking is viewed as a strong idea that can channel thinking on future-proofing regulations and potentially lead to the consolidation of smaller government banks.
- **Prudence over Populism:** Many observers commend the government for choosing fiscal prudence and maintaining a consolidation path despite geopolitical instability.
- **Strategic Sobriety:** Experts generally agree that the buyback tax reset and the golden rule of investing more than borrowing demonstrate strategic sobriety and a focus on long-term economic fundamentals.

Potential Challenges

- **Crowding Out Risks:** The massive gross market borrowing program of ₹17.2 trillion poses a significant risk of crowding out the private sector and keeping interest rates elevated.
- **Execution and Implementation Timelines:** A primary challenge remains the lack of clear implementation timelines for committee recommendations and persistent delays in rule notifications.
- **Bureaucratic Risk Aversion:** Big-picture intentions could be derailed by a bureaucracy that remains excessively risk-averse and suspicious of business activities.
- **Liquidity Risks:** A sharp increase in the Securities Transaction Tax could hurt trading volumes and market liquidity, potentially increasing impact costs for genuine hedgers and institutional investors.
- **Global Macro Headwinds:** High United States Treasury yields continue to trigger flight-to-safety outflows from emerging markets like India, complicating efforts to attract foreign capital.

Way Forward

- **Transition to Activity-Based Regulation:** Financial regulation should transition from entity-based frameworks to activity-based frameworks to avoid regulatory arbitrage between banks, Non-Banking Financial Companies, and fintech firms.
- **Deepening the Corporate Bond Market:** India must continue efforts to deepen the corporate bond market, projected to reach ₹100–120 trillion by 2030, through improved price discovery and credit enhancement for lower-rated issuers.
- **Attracting Professional Expertise:** There is a need to attract younger professionals into regulatory agencies and tribunals to build sustained expertise in handling complex financial products.
- **Rationalizing Debt Taxation:** Rationalizing the tax treatment of all debt instruments will be essential to broaden the market and revive institutional investor demand.
- **Adopting Cash-Flow-Based Lending:** Expanding cash-flow-based lending will encourage formal credit access for micro-enterprises and first-time borrowers.

Conclusion

By addressing structural weaknesses in banking governance, deepening the corporate bond market, and curbing speculative excess through targeted tax measures, the government aims to create a more diversified and stable financial ecosystem. While challenges related to market borrowing and implementation remain, these reforms represent a decisive step toward achieving strategic autonomy and a lower cost of capital for the Indian economy.

Infrastructure Sector

Infrastructure is a critical driver of economic growth, manufacturing competitiveness, and urban productivity. Persistent challenges such as high logistics costs, fragmented planning, and limited private investment have constrained its effectiveness. Recognising this, the Union Budget 2026–27 places infrastructure at the core of India's growth strategy in pursuit of the "Viksit Bharat" vision.

Current Issues in the Infrastructure Sector

The infrastructure landscape in India is characterized by several structural and operational bottlenecks that hinder manufacturing competitiveness and overall economic growth.

- **High Logistics Costs:** India currently faces high logistics costs, which were estimated at 7.97% of the Gross Domestic Product in the 2024 Fiscal Year, thereby undermining manufacturing competitiveness.
- **Fragmented Infrastructure Planning:** Historical development has often suffered from fragmented planning where roads, railways, and utility projects were built as isolated units, frequently leading to time and cost overruns.
- **Stagnant Private Investment:** While public spending has been robust, private corporate investment has remained cautious and has flatlined as a percentage of the Gross Domestic Product for over a decade.
- **Traffic and Productivity Losses:** Major metropolitan areas face severe traffic congestion, which results in massive productivity losses; for instance, commuters in cities like Bengaluru and Mumbai lose over 100 hours annually to rush-hour delays.

- **Congested Rail Networks:** The existing rail network is heavily congested as passenger and freight traffic compete for the same tracks, resulting in slow transit times and a declining modal share for rail.
- **Wasteful Foreign Exchange Outgo:** India imports nearly two million empty containers annually due to the lack of a globally competitive domestic container manufacturing ecosystem.
- **Strategic Resource Vulnerability:** The nation faces a significant strategic vulnerability due to its heavy reliance on imports for critical rare earth minerals, which are essential for high-technology devices and defense equipment

Solutions Proposed in the Union Budget 2026–27

The Union Budget for the 2026–27 Fiscal Year introduces several large-scale initiatives to modernize the transport backbone and leverage private capital for asset creation.

- **Sharp Increase in Public Capital Expenditure:** The central outlay for public capital expenditure has seen a sharp increase from ₹2 lakh crore in the 2014–15 Fiscal Year to a record ₹12.2 lakh crore in the 2026–27 Fiscal Year
- **Diversified Financing Initiatives:** The government continues initiatives such as Infrastructure Investment Trusts, Real Estate Investment Trusts, the National Investment and Infrastructure Fund, and the National Bank for Financing Infrastructure and Development for large-scale infrastructure enhancement
- **Infrastructure Risk Guarantee Fund:** A new Infrastructure Risk Guarantee Fund is being established to provide prudently calibrated partial credit guarantees to lenders, aimed at de-risking the construction phase for private developers.
- **Asset Monetization and Recycling:** The Budget proposes the recycling of real estate assets of Central Public Sector Enterprises through the setting up of dedicated Real Estate Investment Trusts.
- **Urban Growth Focus:** There is a continued focus on developing infrastructure in cities with a population of over five lakh, specifically targeting Tier II and Tier III cities.
- **New Dedicated Freight Corridors:** A new Dedicated Freight Corridor is being established to connect Dankuni in the East to Surat in the West.
- **Waterway and Shipping Expansion:** The government is operationalizing 20 new National Waterways connecting mineral-rich areas, industrial centres, and ports.
- **Coastal Cargo Promotion Scheme:** A Coastal Cargo Promotion Scheme has been launched to increase the modal share of inland waterways and coastal shipping from 6% to 12% by the year 204.
- **Ship Repair Ecosystem:** The Budget proposes setting up a ship repair ecosystem catering specifically to inland waterways.
- **Seaplane Viability Gap Funding Scheme:** A Seaplane Viability Gap Funding Scheme is being launched to indigenise manufacturing and improve connectivity.
- **Support to States:** The government is providing ₹2 lakh crore in support to states under the Special Assistance to States for Capital Investment Scheme.
- **Purvodaya and Industrial Corridors:** Under the Purvodaya initiative, the government is developing the Integrated East Coast Industrial Corridor to strengthen the economic landscape of the eastern region.

- **High-Speed Rail Corridors:** The Budget proposes the development of seven new high-speed rail corridors, spanning approximately 4,000 kilometres, to act as growth connectors between major city pairs.
- **Container Manufacturing:** A dedicated ₹10,000 crore scheme has been introduced for container manufacturing over a five-year period to build a globally competitive logistics ecosystem.

Impact of Solutions

The strategic investments in infrastructure are expected to yield a high multiplier effect and transform urban productivity.

- **Gross Domestic Product Multiplier Effect:** These investments are estimated to generate a high multiplier effect, where every rupee spent accrues ₹2.5 to ₹3.5 in Gross Domestic Product gains over the medium term.
- **Crowding in Private Investment:** The primary goal of creating foundational infrastructure is to crowd in private investment by reducing transaction costs and risks for businesses.
- **Transformative Travel Times:** High-speed rail and dedicated freight corridors are projected to significantly reduce travel times; for example, travel between Mumbai and Pune could be reduced to approximately 45 minutes.
- **Urban Growth Engines:** The focus on City Economic Regions is designed to transform Tier II and Tier III cities into productive urban growth engines rather than mere population magnets.
- **Plugging Foreign Exchange Leakages:** Domestic manufacturing of containers is intended to substitute imports of empty units, thereby plugging foreign exchange leakages and reducing import dependence.
- **Strategic Resilience:** Establishing Rare Earth Corridors and securing critical minerals will reduce strategic import dependence, particularly on China, and support high-growth sectors like electronics and defense.

Analyst Opinions

Analysts have provided diverse perspectives on the government's infrastructure-heavy strategy.

- **Golden Rule of Finance:** Some experts highlight that the government is now following the golden rule of finance by investing more in capital expenditure than it is borrowing for the first time.
- **Agglomeration Economics:** The strategy is described as a shift toward agglomeration economics, where spatial strategies broaden growth beyond megacities to Tier II and Tier III locations.
- **Prudent Balancing Act:** Analysts generally view the Budget as a prudent balancing act that maintains fiscal discipline while doubling down on productive assets.
- **Need for Institutional Reform:** There is a strong consensus that infrastructure without institutional reform is concrete without consequence, as physical assets deliver maximum value only when paired with land-use and governance changes.
- **Strategic Autonomy:** The focus on indigenising container and semiconductor manufacturing is viewed as a critical step toward achieving strategic autonomy in global value chains.

Potential Challenges

Significant hurdles remain that could affect the successful implementation and financial sustainability of these projects.

- **Market Borrowing and Yield Stress:** The massive scale of public borrowing, with a gross market borrowing of ₹17.2 trillion, may stress bond markets and exert upward pressure on interest rate yields.
- **Execution and Coordination Risks:** The success of long-gestation projects depends heavily on seamless coordination between the Centre and the States, particularly regarding timely land acquisition.
- **Absorptive Capacity Concerns:** Analysts note concerns regarding absorptive capacity, given that actual capital expenditure in the previous year saw a shortfall of over ₹1.4 lakh crore.
- **Fragility of Private Sentiment:** Private investment may continue to lag if global uncertainties, such as technological disruptions from Artificial Intelligence or international trade wars, dampen investor sentiment.
- **Environmental and Resource Strains:** Large-scale infrastructure expansion places extraordinary stress on energy and water reserves, potentially competing with household needs.

Way Forward

To ensure that infrastructure continues to serve as a sustainable foundation for growth, the following strategic steps are recommended.

- **System Performance Focus:** The path forward requires transitioning from asset delivery to system performance, ensuring that transport, housing, and energy systems are planned as an interconnected whole.
- **Strengthening State Capacity:** It is vital to strengthen state capacity so that funds under schemes like the Special Assistance to States for Capital Investment are effectively utilized rather than remaining unused.
- **Deepening Corporate Bond Markets:** India must deepen corporate bond markets to move beyond bank-dominated financing and reduce the economy's cost of capital.
- **Integrated City Economic Regions:** Urban governance should transition toward integrated metropolitan models that manage functional regions as single economic units.
- **Alignment with Sustainability:** Aligning infrastructure with decarbonization and digital-first strategies will be critical for sustainable and globally competitive growth.
- **Sequenced Capability Building:** For manufacturing-linked infrastructure, India should move from simple assembly to design-intensive activities through time-bound milestones for local value addition.

Conclusion

The Union Budget 2026–27 adopts an infrastructure-led approach to crowd in private investment, enhance productivity, and strengthen strategic resilience. While execution and sustainability challenges remain, effective implementation can make infrastructure a durable foundation for long-term and inclusive economic growth.

Energy Security and Autonomy

India's energy sector is at a critical inflection point, where the pursuit of rapid economic growth, digital expansion, and climate commitments must be balanced with energy security and strategic autonomy. While renewable energy capacity has expanded significantly, structural challenges related to baseload stability, critical mineral dependence, and industrial energy demand persist. In this context, the Union Budget

2026–27 seeks to address these vulnerabilities through targeted fiscal incentives, nuclear energy expansion, and the creation of resilient mineral and energy ecosystems.

Current Issues in the Energy Sector

Despite progress in renewable energy, several structural and strategic challenges persist:

- **Baseload Capacity Gap**: Variable renewable sources like solar and wind lack the firm baseload capacity required to maintain a stable national grid.
- **Intermittency and System Costs**: The intermittent nature of solar and wind power leads to higher system costs and potential grid instability if not balanced by reliable power anchors.
- **Strategic Resource Vulnerability**: India faces a massive strategic vulnerability due to its heavy reliance on imports for critical minerals; for instance, China supplies over 45% of rare earth minerals and controls approximately 92% of global refining capacity.
- **High Capital and Regulatory Barriers**: Historically, the nuclear sector was constrained by high capital costs and legal frameworks that restricted participation to the Central Government.
- **Industry Transition Difficulties**: Heavy industries find it technologically challenging to transition entirely to variable renewables, necessitating the development of stable, clean energy alternatives like Small Modular Reactors.
- **Resource Intensity Strains**: The growth of high-tech industries, such as Artificial Intelligence-grade data centers, places extraordinary stress on energy grids, potentially leading to voltage depressions and frequency deviations.

Solutions Proposed in the Union Budget 2026–27

The Union Budget adopts a multi-pronged approach to bolster energy security through fiscal incentives, strategic missions, and technology adoption:

- **Adoption of Carbon Capture Technologies**: The government has proposed a dedicated scheme to adopt Carbon Capture, Utilization, and Storage with a significant budgetary outlay of ₹20,000 crore.
- **Support for Solar Glass Production**: To lower the cost of solar energy components, the Budget provides an exemption of Basic Customs Duty on the import of sodium antimonate for use in the manufacture of solar glass.
- **Critical Mineral Processing Incentives**: There is a full exemption of Basic Customs Duty on the import of capital goods required for the processing of critical minerals in India to reduce strategic dependence.
- **Battery Storage Manufacturing**: The government is extending the exemption of Basic Customs Duty to capital goods used for the manufacture of Lithium-Ion Cells for batteries to be used in battery energy storage systems.
- **Expansion of Nuclear Energy Support**: The Budget proposes the extension of the existing Basic Customs Duty exemption on imports of goods required for Nuclear Power Projects until the year 2035, expanding this relief to all nuclear plants irrespective of their capacity, including Small Modular Reactors.

- **Biogas Blending Incentives**: To promote cleaner fuels, the government has authorized the exclusion of the entire value of biogas from the Central Excise duty payable on biogas-blended Compressed Natural Gas.
- **Establishment of Rare Earth Corridors**: Dedicated Rare Earth Corridors are being established in Odisha, Kerala, Andhra Pradesh, and Tamil Nadu to promote mining, processing, research, and manufacturing of critical minerals.

Impact of Solutions

These budgetary measures are designed to act as a multiplier for long-term growth and energy stability:

- **Lowering Capital Costs**: Tax incentives and customs exemptions are expected to materially lower capital costs for developers, significantly improving the financial viability of nuclear and renewable energy projects.
- **Reducing Strategic Dependence**: By securing the "mining-to-manufacturing" chain for rare earths, India aims to reduce its strategic import dependence on China for minerals essential to electronics and electric vehicles.
- **Achieving Capacity Targets**: These steps are essential for reaching the national target of 22 Gigawatts of nuclear capacity by 2032 and 100 Gigawatts by 2047.
- **Green Energy Resilience**: The push for Small Modular Reactors and battery energy storage systems will provide a cleaner energy source for heavy industry while overcoming the intermittency issues of solar and wind.
- **Democratizing Infrastructure**: Strategic incentives are projected to trigger over $200 billion in investment in digital infrastructure, anchored by reliable and predictable energy policies.

Analyst Opinions

Analysts and industry experts have highlighted the strategic sobriety of the energy-focused reforms:

- **"Audacious" Decision Making**: Analysts view the government's focus on nuclear energy and critical minerals as an "audacious" and "anti-populist" decision that prioritizes long-term economic fundamentals over short-term cycles.
- **Strategic Autonomy**: Experts suggest that reduced dependence on critical energy and mineral imports is now explicitly a central part of India's broader strategic autonomy and growth strategy.
- **Regulatory Masterstroke**: The establishment of Rare Earth Corridors is described as a "masterstroke in regulatory clarity" that reflects a deep understanding of the current geoeconomics of manufacturing.
- **Strategic Enabler**: The nuclear sector is increasingly seen as a "new vertical" for growth for major energy players like the National Thermal Power Corporation.

Potential Challenges

The path to energy security faces significant implementation and external hurdles:

- **China's Dominant Lead**: Building a domestic refining infrastructure is a massive undertaking, given that China currently controls 92% of global refining capacity for rare earth minerals.

- **Budgetary Allocation Disparity**: Despite the strategic push, the actual budgetary allocation for the Department of Atomic Energy saw a modest rise of only 2% in the current fiscal year.
- **Staggering Resource Intensity**: The success of digital and industrial hubs hinges on India's ability to scale power infrastructure, as data centers alone can consume up to 20 lakh litres of water per day.
- **Execution Gaps**: Historically, there has been a significant "slip between the cup and the lip" regarding the timely notification of rules and effective coordination between Central and State governments.
- **Geopolitical Volatility**: Supply chains remain prone to geopolitical shocks and "Trumpian" tariff wars, which can disrupt the import of critical components.

Way Forward

To ensure long-term stability, the following strategic steps are recommended by the sources:

- **National Input Cost Reduction Strategy**: India must prioritize lowering the costs of energy, logistics, and compliance to ensure domestic manufacturing remains globally competitive.
- **Full Implementation of the SHANTI Act**: Leveraging the SHANTI Act of 2025 will be essential to integrate private sector Research and Development and operations into the nuclear ecosystem.
- **Development of Indigenous Technology**: India must focus on developing indigenous Small Modular Reactors, such as the 200 Megawatt-electric Bharat Small Modular Reactor, to reach its 2047 capacity goals.
- **Mining-to-Manufacturing Ecosystem**: The government should establish an integrated ecosystem that moves beyond assembly to high-end processing of critical minerals.
- **Frugal Technology Adoption**: Policy should prioritize "frugal Artificial Intelligence" and application-specific models that are resource-efficient and capable of running on locally available hardware.

Conclusion

The Union Budget 2026–27 marks a strategic shift in India’s energy policy by prioritizing long-term stability over short-term populism through investments in nuclear energy, critical minerals, and storage technologies. However, the success of these measures will depend on effective execution, scaling of indigenous technologies, and sustained policy coordination across institutions. A coherent mining-to-manufacturing ecosystem, cost-competitive energy inputs, and frugal technology adoption will be essential for ensuring energy security and supporting India’s transition towards a resilient, low-carbon, and globally competitive economy in line with the Viksit Bharat vision by 2047.

India’s Urban Revolution: From Fragmented Cities to Economic Regions

Urbanisation in India has progressed rapidly, but cities continue to suffer from structural governance deficits, weak fiscal autonomy, and fragmented planning. These constraints limit agglomeration benefits, reduce productivity, and perpetuate informality in housing and labour markets. Recognising cities as engines of economic growth, the Union Budget 2026–27 introduces reforms aimed at strengthening connectivity, financing, and spatial integration to unlock urban economic potential.

Solutions Proposed in the Budget

The Union Budget for the 2026-27 Fiscal Year introduces a framework to treat cities as drivers of growth through agglomeration and enhanced connectivity:

City Economic Regions and Specialized Focus

- **Mapping and Development of City Economic Regions**: The government proposes the mapping and development of City Economic Regions to amplify the potential of cities to deliver the economic power of agglomerations.
- **Focus on Tier II, Tier III Cities and Temple-Towns**: A strategic focus will be placed on developing infrastructure in Tier II cities, Tier III cities, and temple-towns.
- **Challenge-Mode Financing for City Economic Regions**: An allocation of ₹5,000 crore per City Economic Region over five years is provided through a challenge mode featuring a reform-cum-results based financing mechanism.

Connectivity via 'Growth Connectors'

- **High-Speed Rail Network Development**: The Budget proposes the development of seven High-Speed Rail corridors spanning approximately 4,000 kilometres to serve as environmentally sustainable passenger systems.
- **Linking Major City Pairs**: These designated corridors link major city pairs such as Mumbai–Pune, Pune–Hyderabad, Hyderabad-Bengaluru, Hyderabad-Chennai, Chennai–Bengaluru, Delhi–Varanasi, and Varanasi-Siliguri.

Urban Financing and Innovation

- **Urban Challenge Fund**: A ₹1 lakh crore Urban Challenge Fund has been introduced to co-finance up to 25% of bankable urban projects, provided cities raise half the cost through bonds or private partnerships.
- **Municipal Bond Incentives**: The government offers a ₹100-crore incentive for single municipal bond issuances exceeding ₹1,000 crore to encourage financial discipline and market borrowing.
- **University Townships for Innovation**: The Budget supports the establishment of university townships near major industrial and logistic corridors to foster innovation ecosystems.

Impact of Solutions

These interventions are designed to fundamentally transform urban productivity and accessibility:

- **Productivity Gains from Agglomeration**: Doubling the size of a city is estimated to boost productivity by 12%, and City Economic Regions are intended to integrate multiple urban centres into unified economic ecosystems.
- **Expansion of Labour Markets**: Connectivity enhancements, such as the Namo Bharat Regional Rapid Transit System, are expected to significantly expand effective labour markets, making nearly 7 lakh more jobs reachable within one hour in some regions.
- **Transformative Reduction in Travel Time**: High-Speed Rail corridors are projected to drastically reduce commute times, such as reducing the Mumbai to Pune journey to approximately 45 minutes and the Chennai to Bengaluru journey to 1 hour and 30 minutes.
- **Unlocking Land Value**: Density upgrades and land-use reforms are intended to unlock "dead capital," potentially lowering the relative cost of housing and commercial space.

- **Shift to a "Balance-Sheet Mindset"**: Performance-linked funding encourages urban local bodies to move away from entitlement-based grants toward financial self-reliance.

Analyst Opinions

Analysts have highlighted both the strategic sobriety and the institutional requirements of these reforms:

- **Cities as Economic Infrastructure**: Experts argue that cities must be viewed as critical economic infrastructure rather than just habitats, acting as the primary engine for India's transition to a high-productivity manufacturing and services hub.
- **Spatial Strategy for Growth**: Analysts view these measures as a shift toward "agglomeration economics," where spatial strategies broaden growth beyond existing megacities to Tier II and Tier III locations.
- **Prerequisite of Institutional Reform**: There is a strong consensus among analysts that "infrastructure without institutional reform is concrete without consequence," meaning that physical assets only deliver value if paired with density and land-use changes.
- **Audacious Long-Term Focus**: The scale of investment in High-Speed Rail is described as an "audacious" and "anti-populist" decision that prioritizes long-term economic fundamentals over short-term cycles.

Potential Challenges

Significant hurdles remain that could affect the execution and effectiveness of urban reforms:

- **Bureaucratic Risk Aversion**: A risk-averse bureaucracy may continue to prioritize procedural compliance over innovative problem-solving, hindering the transition to new urban models.
- **Fragmented Authority and Coordination**: The persistence of fragmented authority across multiple agencies makes it difficult to coordinate integrated metropolitan plans.
- **Institutional Capacity Constraints**: Many urban local bodies currently lack the institutional capacity required to prepare the "bankable" projects necessary to access competitive funding.
- **Financial Sustainability and Resistance**: Public resistance to user charges and market-based pricing for urban services, such as water and waste management, can undermine the financial viability of these systems.
- **Massive Financial Requirements**: The development of the seven High-Speed Rail corridors alone is expected to require investments of approximately ₹16 lakh crore.

Way Forward

To ensure urbanisation serves as a foundation for sustainable growth, the following strategic steps are recommended:

- **Integrated Spatial and Economic Planning**: Cities should institutionalize 20-year City Spatial and Economic Plans that link transport, housing, and land-value capture.
- **Strengthening Own-Source Revenues**: Cities must implement property tax reforms and Geographic Information System-based assessments to operate effectively on their own balance sheets.

- **Integrated Metropolitan Governance**: Urban governance should transition toward integrated metropolitan models that manage functional regions as single units rather than fragmented districts.
- **Prioritizing "Time" as a Resource**: Future urban design should prioritize creating neighborhoods where essential services and work are located within short travel radii to maximize productivity.
- **Adopting Nature-Based Circular Solutions**: Cities must adopt circular solutions, such as gray-water reuse and decentralized waste processing, to ensure long-term environmental resilience.

Conclusion

The urban reforms proposed in the Union Budget 2026–27 represent a strategic shift towards treating cities as economic infrastructure rather than mere administrative units. However, their success will depend on institutional capacity building, integrated metropolitan governance, and sustainable urban financing. Embedding spatial planning, fiscal self-reliance, and time-efficient urban design will be critical for ensuring that urbanisation becomes a driver of inclusive, productive, and sustainable growth in India.

Trust-Based Governance

Effective governance and administration are critical for reducing transaction costs, improving economic efficiency, and building trust between the State, businesses, and citizens. However, India's regulatory landscape has long been constrained by procedural complexity, officer-dependent decision-making, and compliance burdens. Recognising these challenges, the Union Budget 2026–27 advances a shift toward trust-based, technology-driven governance to support growth and ease of doing business.

Current Issues in Governance and Administration

- **Officer-Dependent Approvals and High Transaction Costs:** High transaction costs currently stem from officer-dependent approvals and a general lack of coordination between different tax authorities, which creates duplicate compliance burdens for businesses.
- **Bureaucratic Risk Aversion:** A risk-averse bureaucracy persists, often prioritising rigid procedural compliance over innovative problem-solving, which can derail big-picture policy intentions through suspicious gazes on businesses and citizens.
- **Compliance Friction in Financial Transactions:** The complexity of obtaining administrative requirements, such as Tax Deduction and Collection Account Numbers for one-time property transactions involving non-residents, has historically created unnecessary friction for individuals.
- **Inverted Duty Structures:** Downstream manufacturers are frequently penalised by an inverted duty structure, where tariffs on intermediate goods and raw materials are higher than those on finished products, discouraging domestic value addition.
- **Fragmented Infrastructure and Logistics:** Historical development has often suffered from fragmented planning, leading to time and cost overruns because roads, railways, and utilities were built as isolated projects rather than integrated systems.

Solutions Proposed in the Union Budget 2026–27

The Union Budget for the 2026–27 Fiscal Year introduces several trust-based governance measures designed to modernise administrative frameworks and reduce the regulatory burden.

Customs and Trade Modernisation

- **Enhanced Duty Deferral for Authorised Economic Operators:** The duty-deferral period for Tier II and Tier III Authorised Economic Operators will be enhanced from 15 to 30 days, eligible manufacturer-importers will receive the same facility, and government agencies will be encouraged to leverage Authorised Economic Operator accreditation.
- **Warehouse Operator–Centric Customs Framework:** The Customs warehousing framework will be transformed into a warehouse operator-centric system utilising self-declarations and other trust-based mechanisms.
- **Extended Validity of Advance Rulings:** The validity period of advance rulings binding on Customs will be extended from three years to five years.
- **Automated Customs Notification:** For trusted importers, the filing of a Bill of Entry and the arrival of goods will automatically notify Customs to streamline the clearance process.
- **Risk-Based Cargo Verification:** Regular importers with trusted supply chains will be recognised within the risk system to minimize verification requirements for each transaction.
- **Single Digital Cargo Clearance Window:** A single interconnected digital window for cargo clearance approvals will be operational by the end of the current fiscal year to reduce logistics friction.

Direct Tax Simplification and Process Reforms

- **Income Tax Act, 2025:** The government has introduced the Income Tax Act, 2025, to provide a concise, lucid, and easy-to-understand legal framework for ordinary citizens, effective from April 1, 2026.
- **Simplified Property Tax Deducted at Source:** Resident buyers will be allowed to use a Permanent Account Number-based challan for purchases from non-residents, eliminating the requirement for a Tax Deduction and Collection Account Number.
- **Administrative Automation:** Automated issuance of lower tax deduction certificates and staggered filing deadlines will be implemented to reduce taxpayer anxiety.
- **Automated Safe Harbour Approvals:** Approval processes for safe harbour in Information Technology services have transitioned to an automated, rule-driven system to ensure predictability.

Impact of Solutions

- **Improved Efficiency and Port Operations:** A minimal-intervention regime supported by digitized approvals and non-intrusive scanning is intended to reduce dwell time at ports and improve efficiency.
- **Reduction in Administrative Friction:** Procedural reforms are projected to lower compliance costs, reduce administrative friction, and ease taxpayer anxiety for global firms and individuals.
- **Enhanced Strategic Resilience:** Correcting inverted duty structures and providing tax exemptions for critical sectors such as semiconductors and rare earths is expected to deepen value addition and reduce strategic import dependence.
- **Direct Household Relief:** Measures such as halving customs duties on personal imports and exempting 17 cancer drugs from duty will directly lower healthcare and living costs for households.
- **Global Competitiveness:** Long-term tax certainty for digital infrastructure aims to anchor India as a foundational global node in digital supply chains.

Analyst Opinions

- **Masterstroke in Regulatory Clarity:** Industry experts describe automated approvals and data-driven safe harbour margins as a masterstroke in regulatory clarity for Global Capability Centres.
- **Praise for Strategic Sobriety:** Observers commend the government for maintaining fiscal discipline and prioritizing long-term economic fundamentals over short-term populism.
- **Critique of Piecemeal Measures:** Some critics argue that customs duty reductions and procedural reforms represent a piecemeal facelift rather than comprehensive tariff restructuring.

Potential Challenges

- **Execution and Implementation Gaps:** Delays in rule notifications and uneven implementation across States reflect a persistent gap between policy intent and outcomes.
- **Persistent Bureaucratic Risk Aversion:** Continued preference for procedural compliance over innovation could slow the adoption of trust-based systems.
- **Revenue Growth Uncertainty:** Fiscal targets depend heavily on nominal Gross Domestic Product growth of 10 per cent, and any shortfall may force expenditure compression.
- **Global Geopolitical Volatility:** Trade wars and geopolitical instability may disrupt planned fiscal and industrial strategies.

Way Forward

- **National Input Cost Reduction Strategy:** Affordable energy, logistics, and compliance should be treated as core economic infrastructure to sustain competitiveness.
- **Convergence of Customs and Tax Valuation:** Closer coordination between customs valuation and transfer pricing is needed to eliminate duplicate compliance burdens.
- **Outcome-Based Policy Design:** Policies should shift toward outcome-oriented targeting using technology-enabled platforms such as Direct Benefit Transfer.
- **Operationalisation of the Income Tax Act, 2025:** Effective implementation of the new Act will be crucial to creating a clear and citizen-friendly tax regime.
- **Empowered Institutional Mechanisms:** Adopting empowered regulators similar to the International Financial Services Centres Authority model will help ensure long-term regulatory certainty.

Conclusion

The Union Budget 2026–27 marks a significant step toward modernising governance by simplifying tax laws, digitising customs procedures, and reducing regulatory friction. While challenges related to implementation capacity, bureaucratic risk aversion, and global uncertainty persist, sustained execution and institutional reform can translate these measures into durable gains in efficiency, competitiveness, and public trust advancing the goal of minimum government and maximum governance.

Ease of Doing Business

The Indian economy continues to face structural challenges arising from complex tax administration, declining capital inflows, high compliance costs, and rising living expenses. These frictions not only constrain ease of doing business but also affect household welfare and investor confidence. In this context, the Union Budget 2026–27 seeks to recalibrate the economic framework through trust-based taxation, capital-friendly reforms, and targeted relief measures aimed at improving administrative efficiency and economic resilience.

Current Issues

The Indian economy and its administrative frameworks face several structural challenges that impact both the ease of doing business and the quality of life for its citizens:

- **Administrative and Compliance Friction**: High transaction costs currently stem from officer-dependent approvals and a lack of coordination between different tax authorities, creating duplicate compliance burdens.
- **Barriers to Capital Inflow**: Net Foreign Direct Investment inflows have softened significantly, and the nation has seen practically no net Foreign Portfolio Investment flows for over five years, facing what some call a "global capital strike".
- **Complexity for Individual Taxpayers**: Procedural requirements, such as obtaining a Tax Deduction and Collection Account Number for one-time property transactions involving non-residents, have historically created unnecessary friction for individual citizens.
- **Excessive Speculative Activity**: Capital markets are experiencing excessive retail speculation in high-risk derivative segments, where reports indicate that 93% of amateur investors suffer financial losses.
- **Inverted Duty Structures**: Downstream manufacturers are frequently penalised by a tariff regime where duties on intermediate goods are higher than those on final products, discouraging deep domestic manufacturing.
- **Healthcare and Living Costs**: High out-of-pocket expenditures for life-saving treatments, particularly for non-communicable diseases like cancer, continue to disproportionately affect households.

Solutions Proposed in the Budget

The Union Budget 2026–27 introduces a range of measures to simplify taxation, improve administrative efficiency, and reduce the financial burden on citizens:

Facilitating Capital Inflows and Investment

- **Portfolio Investment for Persons Resident Outside India**: Individual Persons Resident Outside India will be permitted to invest in equity instruments of listed Indian companies through the Portfolio Investment Scheme.
- **Enhanced Investment Limits**: Investment limits for individuals under this category have been doubled to 10%, while the aggregate limit in a company is raised to 24%.
- **Tax Holiday for Global Cloud Services**: Foreign companies providing global cloud services through India-based data centres are offered a landmark tax holiday until 2047.
- **Exemption from Minimum Alternate Tax**: Non-residents who pay tax on a presumptive basis are now exempted from Minimum Alternate Tax.

Relief for Individuals and Ease of Living

- **Motor Accident Compensation Relief**: Interest awarded by the motor accident claim tribunal to a natural person will be exempt from Income Tax, and any Tax Deducted at Source on this account will be removed.

- **Reduced Tax Collected at Source on Overseas Tours**: The Tax Collected at Source rate on the sale of overseas tour program packages is reduced from 5% and 20% to 2% without any stipulation of amount.
- **Lower Tax Collected at Source for Education and Medical Purposes**: The Tax Collected at Source for pursuing education and for medical purposes under the Liberalized Remittance Scheme is reduced from 5% to 2%.
- **Customs Duty Exemption on Life-Saving Drugs**: Basic Customs Duty is exempted on 17 life-saving drugs or medicines for cancer patients.

Direct Tax Simplification and Trust-Based Governance

- **Rationalized Tax Deducted at Source on Manpower Supply**: Tax Deducted at Source on the supply of manpower services will be at the rate of either 1% or 2%.
- **Automated Lower Deduction Certificates**: Small taxpayers can obtain a lower or nil deduction certificate through a rule-based automated process.
- **Submission of Form 15G and Form 15H via Depositories**: Depositories are now enabled to accept Form 15G or Form 15H from taxpayers holding securities in multiple companies.
- **Extended Timeline for Return Revision**: The time available for revising returns is extended from 31st December to up to 31st March with the payment of a nominal fee.
- **Staggered Filing Deadlines**: Individuals with Income Tax Return 1 and Income Tax Return 2 will continue to file until 31st July, while non-audit business cases or trusts are proposed to be allowed time until 31st August.
- **Simplified Tax Deducted at Source for Non-Resident Property Sales**: Tax Deducted at Source on the sale of immovable property by a non-resident will be deducted and deposited through the resident buyer’s Permanent Account Number instead of a Tax Deduction and Collection Account Number.
- **Foreign Asset Disclosure Scheme**: A one-time six-month foreign asset disclosure scheme below a certain size is introduced for small taxpayers.
- **Post-Reassessment Return Updates**: Taxpayers are allowed to update their returns even after reassessment proceedings have been initiated at an additional 10% tax rate.
- **Expanded Immunity Framework**: The framework for immunity from penalty and prosecution in cases of underreporting is extended to misreporting.
- **Decriminalization of Procedural Offences**: Non-production of books of account and documents and requirements of Tax Deducted at Source payment is decriminalized.
- **Retrospective Immunity for Small Foreign Asset Non-Disclosure**: Immunity from prosecution with retrospective effect from 1st October 2024 is provided for the non-disclosure of non-immovable foreign assets with an aggregate value less than ₹20 lakh.
- **Dispute Resolution for Honest Taxpayers**: Honest taxpayers willing to settle disputes can close cases by paying an additional amount in lieu of a penalty.

Corporate and Systemic Reforms

- **Alignment of Accounting and Tax Standards**: A Joint Committee of the Ministry of Corporate Affairs and the Central Board of Direct Taxes will be constituted to incorporate the requirements of Income Computation and Disclosure Standards in the Indian Accounting Standards.
- **Reclassification of Share Buybacks**: Proceeds from share buybacks will now be treated as Capital Gains for all types of shareholders to restore them as an efficient capital-return mechanism.

- **Finalisation of Minimum Alternate Tax**: Set-off using available Minimum Alternate Tax credit will be allowed to an extent of one-fourth of the tax liability in the new regime, and Minimum Alternate Tax is proposed to be made a final tax.
- **Digital Customs Modernization**: A single and interconnected digital window for cargo clearance approvals and a Customs Integrated System to be rolled out in two years will modernize logistics.

Impact of Solutions

- **Household and Healthcare Relief**: The reduction in drug duties and customs exemptions for cancer medicines will directly lower household healthcare costs.
- **Democratization of Digital Infrastructure**: Incentives for data centers are projected to trigger over $200 billion in investment, providing startups and Micro, Small, and Medium Enterprises with access to high-grade infrastructure.
- **Administrative and Compliance Efficiency**: Automated rule-driven processes and trust-based systems are expected to reduce administrative friction and taxpayer anxiety.
- **Market Depth and Liquidity**: By eliminating registration hurdles for direct retail access for Persons Resident Outside India, the Budget intends to deepen market depth and reduce compliance costs.
- **Restored Efficiency in Capital Returns**: Reclassifying buybacks as Capital Gains corrects a significant distortion, allowing a legitimate and tax-efficient mechanism for returning capital to investors.

Analyst Opinions

- **Strategic Regulatory Clarity**: The precise, data-driven approach to safe harbour margins and automated approvals is viewed as a "masterstroke in regulatory clarity".
- **"Jane Street Amendment"**: The hike in Securities Transaction Tax on derivatives is seen as a philosophical shift to protect small retail investors from high-frequency algorithmic trading firms.
- **Critique of "Piecemeal" Reforms**: Conversely, some critics describe the customs duty slashes and procedural tweaks as a "piecemeal" approach or a "facelift" that avoids a more comprehensive cleanup of the tariff structure.

Potential Challenges

The success of these reforms may be hindered by several operational and external hurdles:

- **Implementation "Slippage"**: Historically, there remains a significant gap between budgetary intent and actual execution, with potential delays in rule notifications and inconsistent implementation across various States.
- **Bureaucratic Risk Aversion**: A risk-averse bureaucracy may continue to prioritize procedural compliance over innovation, potentially derailing the transition to trust-based systems.
- **Staggering Resource Intensity**: The growth of high-tech manufacturing and data centers places extraordinary stress on energy and water reserves, with some facilities consuming up to 20 lakh litres of water per day.
- **Geopolitical and External Turbulence**: Ongoing global trade tensions and coercive trade policies, such as "Trumpian" tariff wars, pose significant risks to export-oriented strategies.

Way Forward

To achieve the objective of a modern and resilient economy, the following strategic steps are recommended:

- **National Input Cost Reduction Strategy**: India must prioritize lowering the costs of energy, logistics, and regulatory compliance to ensure that domestic manufacturing remains globally competitive.
- **"Frugal Artificial Intelligence" Development**: The nation should prioritize application-specific small models that are resource-efficient and capable of running on locally available hardware.
- **Integrated Learning Pathways**: Education must evolve through "Earn-and-Learn" initiatives that integrate vocational training into formal degrees to build a workforce capable of advanced manufacturing.

Conclusion

The reforms proposed in the Union Budget 2026–27 signal a shift towards simplification, predictability, and trust in India's economic governance. While measures addressing taxation, capital markets, and ease of living can strengthen growth fundamentals, their effectiveness will depend on timely implementation, institutional capacity, and resource sustainability. A coherent input-cost reduction strategy, successful operationalisation of the new Income Tax framework, and prudent management of data and technology will be critical for building a competitive and resilient economy.

Fiscal Management

The Union Budget for the 2026–27 fiscal year prioritizes macroeconomic stability through the following calibrated consolidation measures:

- **Long-Term Debt Target**: The Central Government will target reaching a debt-to-Gross Domestic Product ratio of 50±1 percent by 2030.
- **Debt-to-Gross Domestic Product Estimates**: The debt-to-Gross Domestic Product ratio is estimated to be 55.6 percent of Gross Domestic Product in the Budget Estimate for the 2026–27 fiscal year, compared to 56.1 percent of Gross Domestic Product in the Revised Estimate for the 2025–26 fiscal year.
- **Fiscal Deficit Calibration**: In the Revised Estimate for the 2025–26 fiscal year, the fiscal deficit has been estimated at par with the Budget Estimate of the 2025–26 fiscal year at 4.4 percent of Gross Domestic Product.
- **Revised Deficit Path**: In line with the new fiscal prudence path of debt consolidation, the fiscal deficit in the Budget Estimate for the 2026–27 fiscal year is estimated to be 4.3 percent of Gross Domestic Product.
- **The "Golden Rule" of Finance**: For the first time, the government is investing more in capital expenditure (₹12.2 lakh crore) than it is borrowing in net terms (₹11.7 trillion), ensuring that debt is used for asset creation rather than current consumption.
- **Realistic Growth Assumptions**: The Budget assumes a responsible 10 percent nominal Gross Domestic Product growth rate, reflecting moderated inflation and realistic revenue expectations.